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1. Foreign Investors buying an interest in local company
2. Local firm acquiring an interest in the existing foreign firm
3. Both the foreign and local firms jointly forming a new enterprise.

5. Foreign Direct Investment (FDI)

FDI means investment made by a company or individual in one country in the business interest in another country in the form of either establishing new business operations or acquiring business assets in the other country

25.04 Features of International Business

The following are the features of international business

(a) Involvement of Countries.

International business can take place only when transactions occur across different countries

(b) Use of Foreign Exchange.

Where countries trade with one another, it has to exchange the goods and services on the basis of foreign currency.

(c) Legal Obligations.

Foreign trade is to be conducted strictly in accordance with the export and import policy of the country concerned. The consent of the government is to be mandatorily obtained with reference to export and import of certain goods and services. Thus government intervention is direct in respect of international transactions.

(d) Exposure to Risk.

International business imposes huge risks on the parties thereto due to long distances, fluctuation of value of currency, obsolescence, sanctioned, war, etc.,

(e) Heavy Documentation Work.

International business necessitates fulfillment of a lot of formalities. Parties to international business have to execute a number of documents in the matters of conducting International business.

(f) Difference in Economic Environment.

The economic environment of countries involved in international business differs significantly in terms of legal framework, institutional set-up, monetary fiscal and commercial policy, resources availability, production techniques, etc.,

25.05 Rationale Behind International Business

i. Unequal Distribution of Natural Resources.

Countries across the world are not endowed with the natural resources of various types equally and equitably. In other words, the natural resources are unevenly spread across the various nations. As a result the countries having surplus resources have to exchange it for those resources which are not available in their home country. This uneven distribution of resources worldwide makes it necessary the exchange of goods among the countries through international business.